

INDIAN ECONOMY

LEVEL
II



LECTURES

- SEVENTH FIVE-YEAR PLAN
- EIGHTH FIVE-YEAR PLAN
- NINTH FIVE-YEAR PLAN

MODULE - 9



GDP GROWTH

- Target ... 5.0%
- Actual ... 6.0%

FIVE YEAR PLANS

SEVENTH FIVE-YEAR PLAN (1985-1990)

KEY FOCUS AREAS

- Focus is “Food, Work and Productivity”.
- The major objectives are growth, modernization, self-reliance, and social justice.
- It is part of the 15-year Perspective Plan (1985-2000) for removal of poverty, providing basic needs, achieving universal elementary education, and total access to health facilities.
- Seeds for economic liberalization of 1990s were sown in this plan.
- Aspects like liberalization of imports, and delicensing of industries were initiated.

TWO PRIMARY ASPECTS

- Agriculture sector orientation towards increasing production and productivity.
- Steady decline in the public sector investment with larger contribution of private sector.



With the success of 6th FYP, Government zeroed in on long-term Perspective Plan (1985-2000), with special focus on Energy sector.

FIVE YEAR PLANS

GDP GROWTH

- Target ... 5.0%
- Actual ... 6.0%

SEVENTH FIVE-YEAR PLAN (1985-1990)

HOW TO VIEW THIS PLAN?

SUCCESSSES

- It was highly successful as the economy recorded 6% growth rate.
- Jawahar Rozgar Yojana (JRY) was launched in 1989 to create wage employment for the rural poor.
- Seeds for the economic liberalization of 1990s.

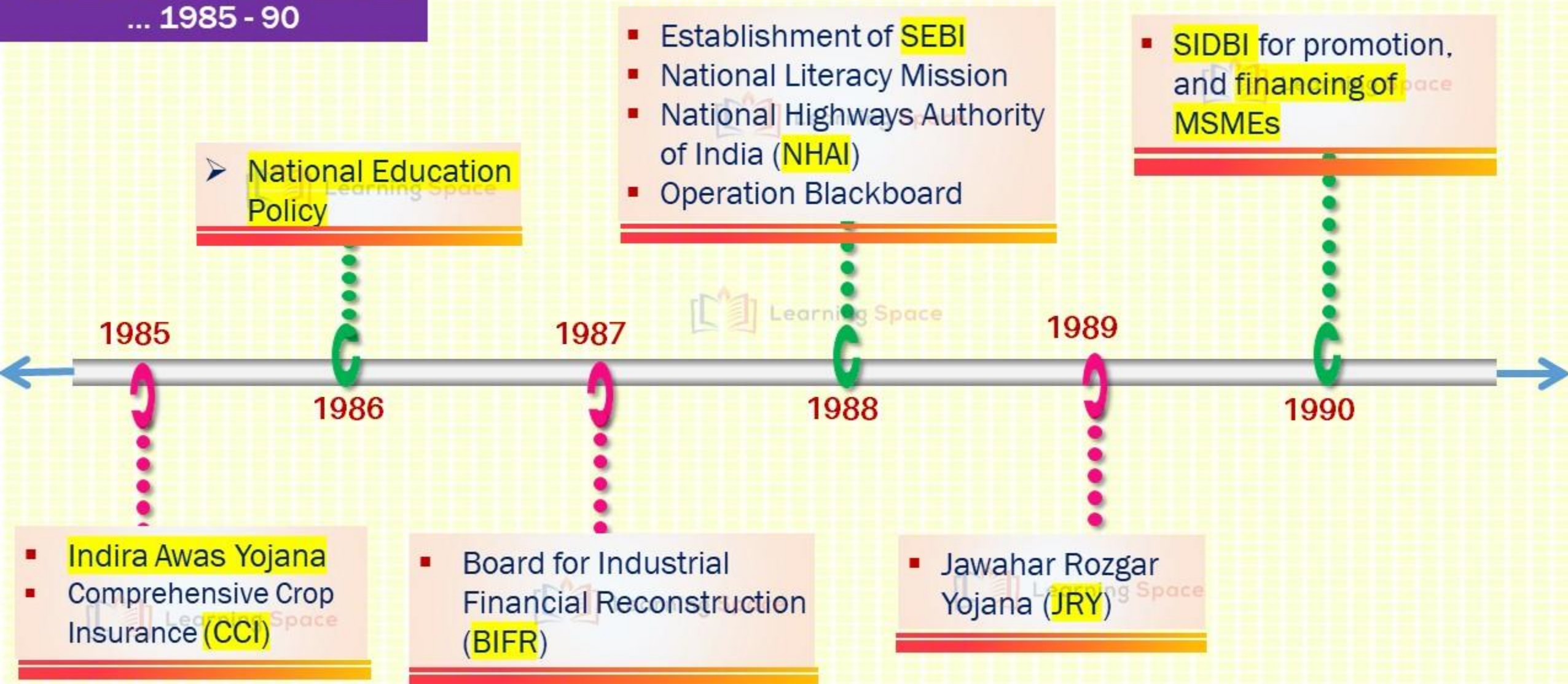
FAILURES

- The high growth of 6% came at the cost of increasing fiscal deficits, external borrowings on hard terms.
- Indian imports were financed by costly external borrowings.
- The plan ended with highly unfavourable Balance of Payments situation.



ECONOMIC DEVELOPMENTS

... 1985 - 90



FIVE YEAR PLANS

TWO ANNUAL PLANS (1990-92)

PREVAILING CIRCUMSTANCES

- Political instability at the Centre, as the coalition government took office in 1989.
- Highly unfavourable Balance of Payments situation, requiring India to seek loan from IMF.

PV NARASIMHA RAO AND MANMOHAN SINGH ERA SINCE 1991

- New Industrial Policy was announced in 1991.
- It was considered as the beginning of large scale liberalization.
- The basic thrust on two yearly plans was on maximization of employment and social transformation.



Each successive plan after seventh have seen phased reduction in public sector outlay, and increase in the role of private sector. In 1991, Narasimham Committee on Financial Sector Reforms, and Raja Chelliah Committee on Taxation Reforms were initiated.

GDP GROWTH

- Target ... 5.6%
- Actual ... 6.8%



High growth could be achieved in spite of share of public sector in total investment declining considerably to about 34%.

FIVE YEAR PLANS

EIGHTH FIVE-YEAR PLAN (1992-1997)

STRATEGIC SHIFT FROM EIGHT FIVE YEAR PLAN

- From this plan, the government shifted towards indicative planning. The role of the private sector increased substantially.
- This is the first five year plan after economic liberalisation. It focused primarily on Macro-economic stability, greater emphasis on market based reforms.
- It introduced fiscal and economic reforms.
- The role of the State is completely redefined with greater role for the private sector, greater investments into the infrastructure sector, restructuring and refocus on the subsidies.

GDP GROWTH

- Target ... 5.6%
- Actual ... 6.8%

FIVE YEAR PLANS

EIGHTH FIVE-YEAR PLAN (1992-1997)



GOVERNMENT STRATEGY WAS TO WALK ON TWO LEGS!

- One leg was to alleviate poverty, and reducing unemployment, and the other leg provides a safety net for those, who will be affected by the structural reforms.
- The plan is to be remembered for three things:
 - ✓ Economic liberalization.
 - ✓ Human face in the reforms.
 - ✓ First plan with indicative planning.

FIVE YEAR PLANS

GDP GROWTH

- Target ... 5.6%
- Actual ... 6.8%

EIGHT FIVE-YEAR PLAN (1992-1997)

HOW TO VIEW THIS PLAN?

SUCCESSSES

- Growth rate surpassed the expectations.
- A fresh thought and outlook towards planning process was infused.
- Debate started about the relevance of planning.
- Growth in exports and imports, improvement in trade and current account deficits could be achieved.

FAILURES

- Share of public sector in the total plan outlay was 34.3%, much below the target of 45.2%.
- It was concluded that poor became poorer, despite the safety net.
- There was also criticism with regard to the government yielding to World Bank/IMF.



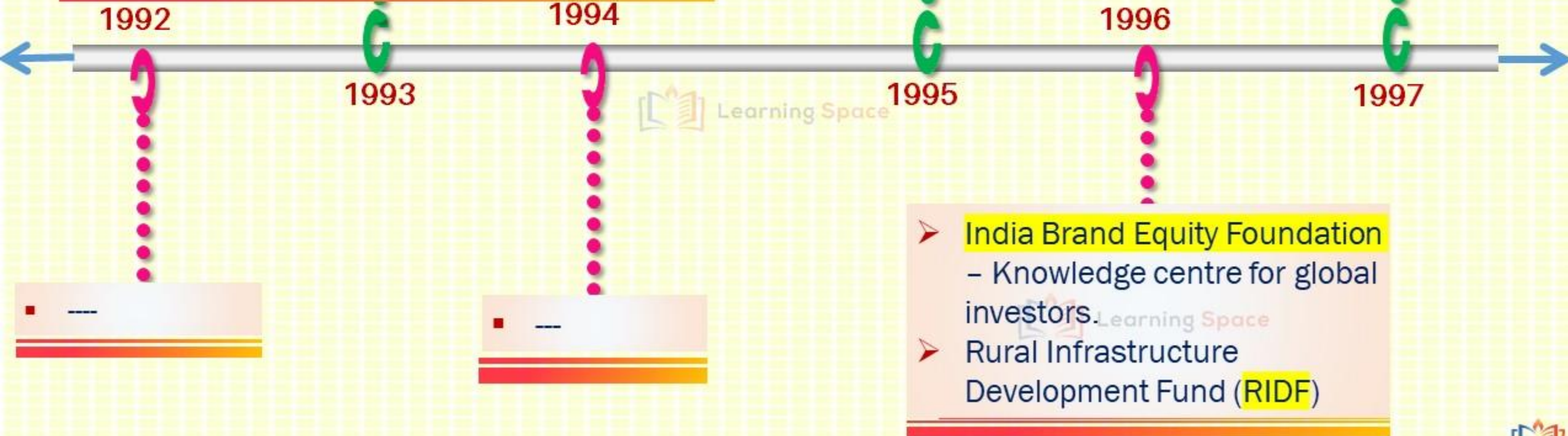
ECONOMIC DEVELOPMENTS

... 1992 - 97

- Era of new generation private sector banks begins.
- Employment Assurance Scheme (EAS).
- MP Local Area Development Scheme (MPLA DS).
- DRDA – District Rural Development Agency

- India became the member of WTO.
- Rural Employment Generation Programme (REGP)

- SIDBI for promotion, and financing of MSMEs.
- Accelerated Irrigation Benefit Programme (AIBP)



GDP GROWTH

- Target ... 6.5%
- Actual ... 5.4%

FIVE YEAR PLANS

NINTH FIVE-YEAR PLAN (1997-2002)

PREVAILING CIRCUMSTANCES

- There were unstable coalition governments between 1996 and 1999.
- Hence, it delayed the formulation and approval of the plan by two years.
- The NDC finally approved the plan in February, 1999.
- However, the plan was to run its period through to 2002.



National Development Council

FOCUS AREAS

- Growth with social justice and equality was the focus.
- The plan aimed to depend predominantly on the private sector.
- Government was envisaged to increasingly play the role of facilitator, and involve itself with social sector, i.e., Education, Health etc. and infrastructure, where the private sector participation was likely to be limited.



GDP GROWTH

- Target ... 6.5%
- Actual ... 5.4%

ECONOMY LECTURES ... LEVEL - II

FIVE YEAR PLANS

NINTH FIVE-YEAR PLAN (1997-2002)

BASIC MINIMUM SERVICES

- It brought the concept of providing basic minimum services to all people in a time-bound manner.
- ✓ Clean drinking water
- ✓ Primary education
- ✓ Healthcare
- ✓ Housing to the needy
- ✓ PDS for food support
- ✓ Nutrition for under-nourished children
- ✓ Connectivity to all villages.



OTHER KEY ASPECTS

- Reducing the fiscal deficits by increased tax collection revenues, and reducing non-essential expenditure.
- Rationalising and cutting down subsidies, government pensions.
- Involvement of States and Panchayati Raj institutions in the planning process.



GDP GROWTH

- Target ... 6.5%
- Actual ... 5.4%

FIVE YEAR PLANS

NINTH FIVE-YEAR PLAN (1997-2002)

SUCCESSSES

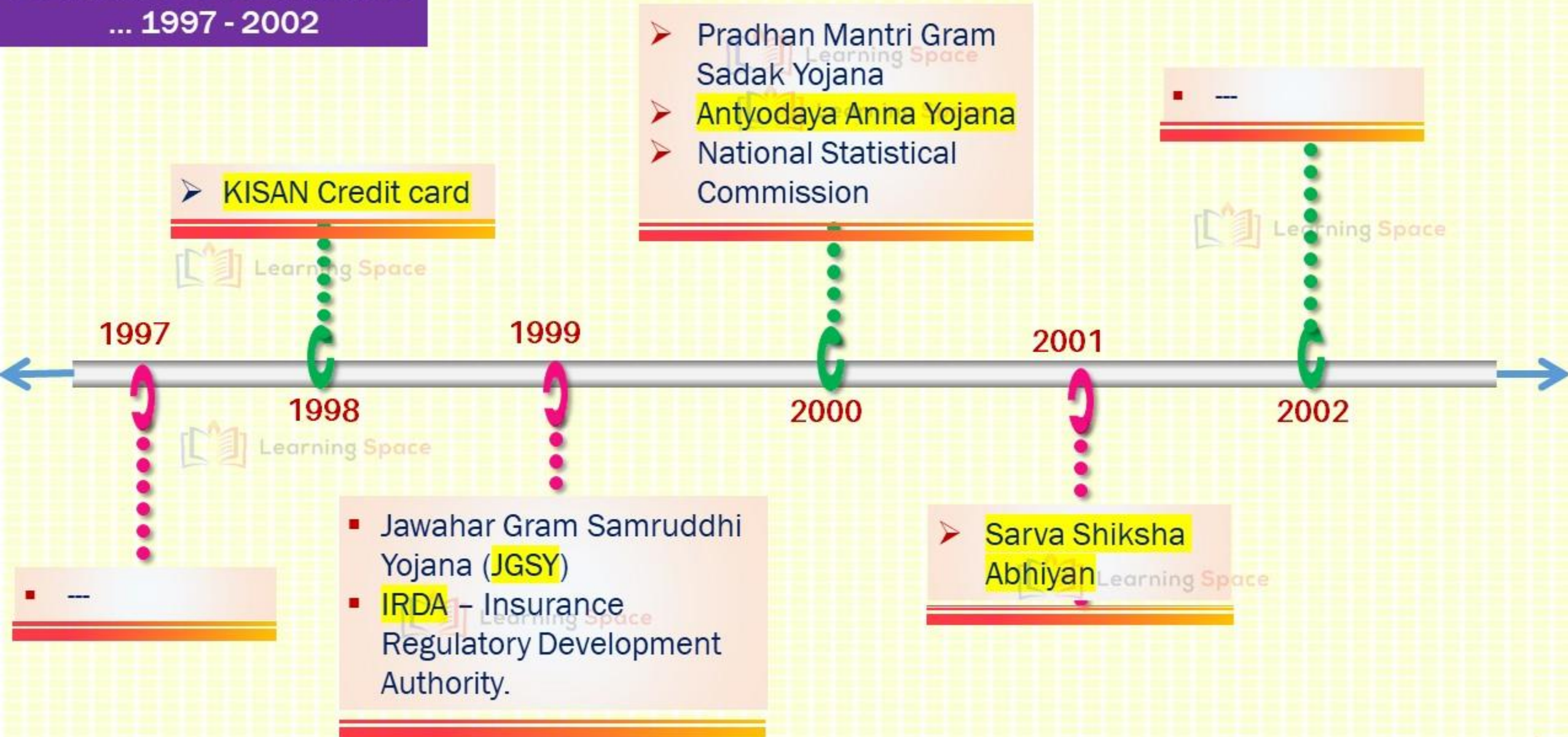
- Issue of fiscal consolidation became a top priority of the government for the first time.
- Decentralisation of planning process with greater reliance on States and PRIs.

FAILURES

- The growth was only 5.4% against the target of 6.5%.
- It was launched when there was an all-round slowdown in the economy by the South-East Asian Financial Crisis (1996-97).
- Super cyclone in Odisha, earthquake in Gujarat, and Kargil war resulted in diversion of resources from investment.



ECONOMIC DEVELOPMENTS ... 1997 - 2002



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